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Private Equity Essentials: Terminology, Structure and Concepts

A reference map organized from fund structure through economics, metrics, deals, capital structure, terms, exits and regulation, closing with founder and GP economics. Formulas and worked examples use round numbers. Cross-references to the Leviathan model are marked ►.

10 + 2	20%	8%	1.5–2.0%
typical fund term (years)	standard carried interest	preferred return (hurdle)	management fee on commitments

The GP controls investment decisions and earns carry; LPs supply the overwhelming majority of capital under limited liability. Everything else in private equity hangs off that relationship.

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01 Players and Fund Structure

The private equity ecosystem is organized around a small number of entities whose relationships are defined in the Limited Partnership Agreement. The GP controls investment decisions and earns carry; LPs supply the overwhelming majority of capital under limited liability.

Term	Definition	Why it matters
GP (General Partner)	Entity that controls the fund and makes investment decisions; unlimited liability (usually held via an LLC)	Earns carry; legally responsible
LP (Limited Partner)	Investor (pensions, endowments, sovereigns, insurers, family offices, HNW); liability limited to commitment	Supplies roughly 95–99% of capital
Management Company (ManCo)	Adviser entity that employs the team and receives management fees	Registered investment adviser; holds the economics of running the firm
Fund (Limited Partnership)	Usually a Delaware or Cayman LP; closed-end, ~10 years plus extensions	The legal pool of capital
LPA	Governing contract: economics, governance, term, key person provisions	Everything is negotiated here
PPM	Offering document describing strategy, team, risks and terms	Disclosure document
Side letter	Bilateral LP-specific terms (fee breaks, reporting, co-invest, ESG or sanctions exclusions)	Usually accompanied by an MFN clause
MFN (Most Favored Nation)	LP can elect any better term given to a similar-size LP	Limits preferential deals
LPAC	Committee of large LPs that approves conflicts, valuations and extensions	Governance check on the GP
Feeder / Parallel / AIV / Blocker	Vehicles used for tax, regulatory or investor-access reasons; same underlying deals	Routes particular investments or LP types efficiently
SPV / Co-investment	Single-asset vehicle, often for co-investment at low or zero fee and carry	Lowers blended fees; lets the GP write bigger checks
Continuation vehicle (CV)	GP-led secondary: assets move from an old fund to a new vehicle; existing LPs roll or sell	Extends the hold on winners
Holdco / Sleeve	Holding company owning stakes across sub-portfolios or distinct sub-strategies. ▸ Leviathan: $855M holdco across three sleeves	Multi-strategy exposure within one vehicle
GP commitment	GP's own capital in the fund (typically 1–5%)	Alignment ("skin in the game")
Key person / No-fault divorce	Investment period suspends if named individuals leave; LPs can remove the GP by supermajority without cause	Protects LPs against team risk; the ultimate LP lever

02 Fund Lifecycle

A typical closed-end PE fund runs 10 + 2 years. Capital is called during the investment period (roughly years 1–5), value is created through years 3–8, and harvest and distributions dominate years 4–12.

Term	Definition
Commitment	Total capital an LP agrees to provide over the fund's life
First / final close	First and last dates LPs can join; later closers pay equalization interest
Capital call (drawdown)	GP requests a portion of commitments, usually with ~10 business days' notice
Paid-in capital (PIC)	Cumulative capital actually called
Unfunded commitment / Dry powder	Commitment not yet called; industry-wide or fund-level uncalled capital available to invest
Investment period	Window (~5 years) in which new platforms can be acquired
Harvest period	Post-investment period: follow-ons and exits only
Recycling	Reinvesting early proceeds (up to a cap) instead of distributing them
Subscription line	Bank loan secured by LP commitments; delays calls and inflates IRR
NAV loan	Fund-level borrowing secured by portfolio NAV; used for liquidity or follow-ons
Vintage year	Year of first investment or first close; used for peer comparison
Follow-on reserve	Capital set aside for existing portfolio companies. ▸ IQT sleeve: $25M of $250M

03 Fund Economics

3.1 Fees

Term	Definition	Typical
Management fee	Annual fee to the ManCo	1.5–2.0% of committed capital during the investment period, stepping down thereafter. ▸ Model uses 2% of committed for the full life
Fee offset	Share of transaction and monitoring fees credited against the management fee	80–100% offset today
Transaction / monitoring fees	Fees the GP charges portfolio companies	Increasingly offset or banned
Organizational expenses	Fund formation costs charged to the fund (capped)	e.g. $1–3M cap
Fund expenses	Audit, admin, legal, broken-deal costs	Charged to the fund

3.2 Carry and hurdle

Term	Definition
Carried interest (carry)	GP's share of profits, typically 20% (range 10–30%)
Preferred return (hurdle)	Minimum LP return before carry is paid, usually 8% compounded annually
Catch-up	After the pref, the GP takes a large share (often 100%) until it has caught up to its 20% of total profits
European (whole-fund) waterfall	Carry only after LPs have received all contributed capital plus pref across the entire fund. LP-friendly
American (deal-by-deal) waterfall	Carry paid on each realized deal (usually after returning that deal's cost plus allocated expenses). GP-friendly; needs a clawback
Clawback	GP must return carry already received if the final fund result does not support it
Hard vs soft hurdle	Hard: carry only on profits above the hurdle (no catch-up). Soft: once the hurdle is met, carry applies to all profit (with catch-up)

3.3 Worked waterfall: $100M fund, $250M gross proceeds, 5-year single exit

Pref = 100 × (1.08^5 − 1) = **$46.93M**. Total profit = **$150M**.

Tier	Full catch-up (soft hurdle)	No catch-up (hard hurdle) ▸ Leviathan
1. Return of capital (LP)	100.00	100.00
2. Preferred 8% (LP)	46.93	46.93
3. GP catch-up (100%)	11.73 (= 46.93 × 20 / 80)	—
4. Remaining split 80 / 20	LP 73.07 / GP 18.27	LP 82.46 / GP 20.61
GP carry total	30.00 (= 20% of 150)	20.61
LP total (before fees)	220.00	229.39

Fees are then deducted: 2% × $100M × 5 years = $10M. The difference between the two waterfalls (~$9.4M here) grows with performance.

04 Performance Metrics

Metric	Formula	Notes
MOIC	Total value ÷ invested capital	Ignores time. Gross (deal level) vs net (to LP)
IRR	Discount rate r such that $\Sigma\ CF_t / (1 + r)^t = 0$	Time-weighted; sensitive to timing and subscription lines. Single-exit shortcut: $MOIC^{1/T} - 1$
TVPI	(Cumulative distributions + NAV) ÷ PIC	Net multiple, realized plus unrealized
DPI	Cumulative distributions ÷ PIC	"Cash-on-cash": what LPs care about most in tight markets
RVPI	NAV ÷ PIC	Unrealized portion; TVPI = DPI + RVPI
PME / KS-PME	Compares PE cash flows with an index. KS-PME = $[\Sigma\ Dist_t \times (I_T / I_t) + NAV_T] \div \Sigma\ Call_t \times (I_T / I_t)$	>1.0 = beat the index. Single in / out: MOIC ÷ $(1 + r_{index})^T$. ▸ $2.068 \div 1.09^5 = 1.34x$
Direct Alpha	IRR of index-compounded cash flows	Annualized excess return over the index
J-curve	Early negative returns (fees, write-downs) before value creation and exits turn the curve up	Subscription lines flatten it artificially
Gross-to-net spread	Gross IRR − net IRR	Typically 4–7 percentage points for buyout
Loss ratio	% of capital invested in deals returning < 1.0x	Measures underwriting discipline

Common traps: IRR can be gamed with subscription lines and quick flips. MOIC ignores time. Interim NAVs are Level 3 marks (judgment). Always look at DPI and PME together.

05 Strategies

Strategy	Profile	Control / leverage	Return driver
Venture capital	Pre-profit, high growth, power-law outcomes	Minority, no leverage	A few outsized winners
Growth equity	Revenue scaling, near or at profitability	Minority, little leverage	Revenue growth
Buyout / LBO	Mature, cash-generative	Control, 4–7x debt / EBITDA	EBITDA growth, deleveraging, multiple
Take-private (P2P)	Buying a listed company	Control	Re-rating plus operational improvement
Carve-out / spin-off	Buying a division from a corporate parent	Control or minority	Standalone efficiency; TSAs. ▸ L3Harris MSL
Buy-and-build / roll-up	Platform plus add-on acquisitions	Control	Multiple arbitrage (buy add-ons at 6x, consolidate at 12x)
Secondaries (LP-led)	Buying LP fund interests	Passive	Discount to NAV, shorter J-curve
Secondaries (GP-led)	Continuation vehicles, strip sales	Varies	Extending winners
Private credit / direct lending	Senior loans to sponsor-backed companies	Lender	Floating-rate spread
Distressed / special situations	Stressed balance sheets	Loan-to-own	Restructuring

06 Deal Process

Sourcing	IOI	Diligence	LOI	Confirmatory	Sign → close
NDA, teaser, CIM	Non-binding range	Management presentation, data room	Price, structure, exclusivity	QoE, legal; SPA / APA	HSR / CFIUS, then closing

Term	Definition
Proprietary deal	Sourced outside a banker auction; less competition
Auction (broad / limited)	Banker-run process with rounds of bids
Teaser / CIM	Anonymous 1–2 page summary / detailed sell-side book
IOI / LOI	Non-binding first-round valuation range / second-round proposal, usually granting exclusivity
QoE (Quality of Earnings)	Accounting diligence normalizing EBITDA
SPA / APA	Stock or Asset Purchase Agreement
Reps & warranties / RWI	Seller statements of fact; R&W insurance covers breaches and reduces escrow needs
MAC / MAE	Material adverse change clause allowing walk-away
Locked box vs completion accounts	Fixed historical balance sheet vs post-close true-up
Earn-out / Rollover equity	Contingent consideration tied to future performance / sellers or management reinvest part of their proceeds
TSA	Transition Services Agreement: the parent keeps providing services to a carve-out temporarily

07 Valuation

Equity Value = Enterprise Value − Debt − Preferred − Minority interest − Debt-like items + Cash

Debt-like items include leases, unfunded pensions and, in some deals, deferred revenue.

Term	Definition
EBITDA / Adjusted EBITDA	Operating cash proxy. "Adjusted" removes one-offs and is where sellers inflate the number
EV / EBITDA, EV / EBIT, EV / Revenue	Core multiples. ▸ LHX 15.1x EBITDA, RHM 17.3x, Faxon entry 10.95x, MSL IPO at 22x EBIT
Trading comps / Precedent transactions	Multiples of similar listed companies / multiples paid in comparable M&A (include a control premium)
DCF / LBO analysis	PV of free cash flow plus terminal value / maximum price a sponsor can pay and still hit its target IRR
Pre-money / post-money	Value before / after new money. Post = Pre + new investment. Ownership = Check ÷ Post. ▸ $9M ÷ $92M = 9.8%
Option pool shuffle	Pool created in the pre-money, so the dilution falls on existing holders
ASC 820 / Level 3	Fair-value accounting; private marks are model-based (Level 3)
Probability-weighted EV	$\Sigma\, p_i \times EV_i$ across scenarios. ▸ Faxon 25 / 50 / 25 → $91.75M

08 Capital Structure and LBO Mechanics

Stack, senior → junior: revolver → Term Loan A → Term Loan B / unitranche → second lien → senior / sub notes → mezzanine / PIK → HoldCo PIK → preferred equity → common equity (sponsor + management).

Term	Definition
Revolver (RCF) / TLA / TLB	Drawable working-capital line / amortizing bank loan / institutional, mostly bullet, floating rate
Unitranche / Second lien	Single blended senior loan / junior secured claim on the same collateral
Mezzanine / PIK	Subordinated debt with warrants or equity kicker / interest that accrues to principal
Leverage / Interest coverage / FCCR	Debt ÷ EBITDA / EBITDA ÷ interest / (EBITDA − capex − tax) ÷ fixed charges
Maintenance vs incurrence covenants	Tested quarterly vs only when taking an action
Cov-lite	No maintenance covenants (common in TLB)
Sources & uses	Table showing where the money comes from and where it goes
Dividend recap / Deleveraging	Borrowing to pay the sponsor a dividend (DPI without an exit) / using FCF to repay debt
MIP / sweet equity	Management equity, often 5–15% of common, with ratchets

8.1 Worked LBO

Entry EBITDA $50M × 10x = EV $500M, funded with 5x debt ($250M) and $250M equity. In year 5, EBITDA $80M × 10x = EV $800M; net debt is paid down to $120M, so equity = **$680M**.

2.72x
MOIC = 680 ÷ 250

22.2%
IRR = $2.72^{1/5} - 1$

$430M
gain: EBITDA growth $300M + deleveraging $130M + multiple $0

09 Equity Terms (Venture, Growth, Minority)

The terms that protect a minority investor matter most for stakes like the Leviathan ones.

Term	Definition	Investor-friendly version
Liquidation preference	Paid before common in an exit	1x non-participating is standard; >1x or participating is aggressive
Participating preferred	Gets its preference back, then shares pro rata	"Double dip"; often capped (e.g. 3x)
Anti-dilution	Price protection in down rounds	Full ratchet (strong) vs broad-based weighted average (standard)
Pro rata / preemptive right	Right to keep ownership % in future rounds	Key for follow-on reserves
ROFR	Right of first refusal on share transfers	Controls the cap table
Tag-along / Drag-along	Minority can sell alongside the majority / majority can force the minority to sell	Essential minority protection / minority wants a price floor
Protective provisions	Consent needed for new senior securities, sale, debt, budget	Key minority control
Board seat / observer	Governance or visibility	▸ Sought at >15% ownership
Information rights	Monthly or quarterly financials, budget, audit	Basic
Redemption right	Investor can force a buyback after N years	Liquidity path in family-or ESOP-owned companies
Warrants	Right to buy shares at a strike	Equity kicker. ▸ DoW warrants at MSL
Convertible note / SAFE	Early instruments converting at the next round, with cap and discount	Seed stage

Dilution and retention: if a fund owns 10% today and new rounds sell 15%, 10% and 10%, final ownership = 10% × 0.85 × 0.90 × 0.90 = 6.9% (retention 0.69). ▸ The model's 0.68 retention at 10 years for the IQT sleeve encodes the same idea.

10 Exits and Regulatory Considerations

Route	Mechanics	Notes
Strategic sale	Sale to a corporate buyer	Synergies mean the highest price; CFIUS limits who can buy
Secondary buyout (SBO)	Sale to another sponsor	Common; “pass the parcel” critique
IPO	Listing; sponsor sells over time	Lock-up (usually 180 days), greenshoe, cornerstone investors
Continuation vehicle	GP-led secondary: assets move to a new vehicle	Extends hold on winners; LPs choose to roll or sell

10.1 Regulatory

Area	Notes
CFIUS / ITAR / FOCI	Committee on Foreign Investment in the United States; International Traffic in Arms Regulations; Foreign Ownership, Control or Influence. Especially relevant for defense contracting
Advisers Act / ERISA	Registration and fiduciary standards for managers; Employee Retirement Income Security Act constraints on pension capital
Defense contracting	Sole source / J&A, OTA (Other Transaction Authority), SBIR / STTR, black / classified budgets. ▸ IQT is funded within the NIP

11 Formula Cheat Sheet

Item	Formula
Ownership	Check ÷ Post-money
Post-money	Pre-money + New money
Single-exit IRR	$MOIC^{1/T} - 1$
Rule of 72	Years to double ≈ 72 ÷ IRR (%). 2x in 5 years ≈ 15%; 3x in 5 years ≈ 24.6%; 3x in 7 years ≈ 17%
TVPI	DPI + RVPI
KS-PME (single cash flow)	MOIC ÷ (1 + index return)^T
Compounded pref	Capital × $[(1 + h)^T - 1]$
Full catch-up amount	Pref × carry ÷ (1 − carry)
Equity value	EV − Net debt − Preferred − Minorities − Debt-like items
LBO equity at exit	Exit EBITDA × Exit multiple − Exit net debt
Value bridge	ΔEBITDA × Entry multiple + ΔMultiple × Exit EBITDA + Debt paydown
Retention	Π (1 − dilution per round)
Probability-weighted value	$\Sigma\ p_i \times Value_i$
▸ Leviathan proceeds	Check × (1 + CAGR)^{Hold} × Retention

12 Quick-Reference Return Targets

Rule-of-thumb ranges, net to LP.

Strategy	Target net IRR	Target net MOIC	Hold
Large buyout	15–20%	1.8–2.2x	4–6 years
Mid-market buyout	18–25%	2.0–2.5x	4–6 years
Growth equity	20–25%	2.5–3.0x	4–7 years
Venture (fund level)	20–30%+	3.0x+ (top quartile)	8–12 years
Secondaries	12–18%	1.5–1.8x	3–5 years
Private credit	9–13%	1.3–1.5x	3–5 years
▸ Leviathan holdco (7-year, Expected)	19.4%	3.46x	7 years

13 Founder / GP Economics: 5-, 7- and 10-Year Holds

Illustrative total economics to the General Partner and Management Company under the Leviathan terms, based on the **PE holdco vehicle file only ($1,406M)**. Figures are reverse-engineered from that file's net MOICs; the other three vehicles are excluded, and additional capital could be raised.

Assumption	Basis
Fund terms	2% management fee on committed capital for the full hold; 20% carry; 8% compounded preferred return
Waterfall	Whole-fund European, hard hurdle, no GP catch-up: carry only on profit above return of capital plus pref
GP ownership	Blackstone modeled as a 50% silent GP underwriter (no operational role); the remaining 50% split equally between the two operating founders, Donald B Ritts III and Peter McCarthy
Cases	(i) the model's probability-weighted Expected; (ii) a simple arithmetic blend of Base, Bull and Expected net MOICs

Item	5-year	7-year	10-year
Expected net MOIC	2.79x	4.63x	10.63x
Blend MOIC (Base + Bull + Exp) ÷ 3	3.12x	5.33x	12.63x
Cumulative management fees (2%)	$141M	$197M	$281M
Total GP pool: Expected	**~$641M**	**~$1,271M**	**~$3,330M**
Blackstone 50% (Expected)	~$320M	~$635M	~$1,665M
Each founder 25% (Expected)	~$160M	~$318M	~$832M
Total GP pool: Blend	**~$757M**	**~$1,516M**	**~$4,032M**
Blackstone 50% (Blend)	~$378M	~$758M	~$2,016M
Each founder 25% (Blend)	~$189M	~$379M	~$1,008M

Actual results will vary with realized exits, recycling, NAV loans and scenario outcomes. The holdco size and MOICs in this section come from the $1,406M PE holdco file and differ from the $855M model figures cross-referenced elsewhere in this document.

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Note: Financial data is estimated and unaudited. Formulas use round numbers for illustration. Cross-references marked ▸ relate to the Leviathan model.